Financial Accounting (FI)

Curriculum: Introduction to S/4HANA using Global Bike



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Teaching material - Information

Teaching material - Version

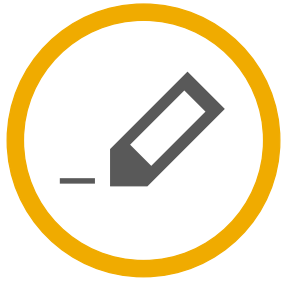
- 4.3 (July 2025)

- Software used
  - S/4HANA 2023
  - Fiori 3.0
- Model
  - Global Bike

- Prerequisites
  - No Prerequisites needed

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Module Information



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Target Audience

- Beginner

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Module Information



Learning Objectives

You are able to

- define the central organizational structures of the FI module.
- summarize the master data which is most important for the FI module.
- explain a standard financial accounting process.
- outline the basic functionalities of FI reporting.
- recognize some of integration points to other SAP modules.

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Agenda

- FI Organizational Structure
- FI Master Data
- FI Processes
- FI Reporting

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Goal of Financial Accounting (FI)

- Financial Accounting is designed to collect the transactional data that provides a foundation for preparing the standard portfolio of reports.
- In general, these reports are primarily, but not exclusively, directed at external parties.
- Standard reports include:
  - Balance Sheet
  - Income Statement
  - Statement of Cash Flows

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Target Groups

- Internal
  - Executives
  - Senior Management
  - Administrative Staff
  - Employees
- External
  - Legal Authorities
  - Banks
  - Auditors
  - Shareholders
  - Insurance
  - Taxing Authorities
  - Media
  - Financial Analysts

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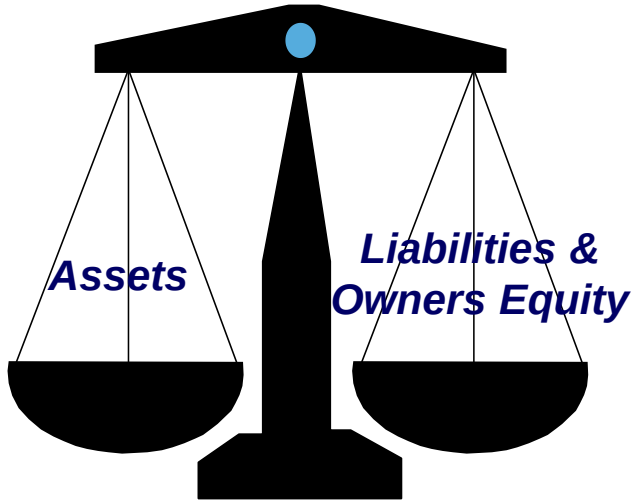
FI Organizational Structure

- Represents the legal and/or organizational view of a company
- Forms a framework that supports a company's financial decisions using the methods desired by management
- Allows the accurate and organized collection of business information
- Supports the development and presentation of relevant information to enable and support business decisions

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FI Organizational Structure

- Client
  - An independent environment in the system
- Company Code
  - Represents an independent legal accounting unit
  - Balanced set of books, as required by law, are prepared at this level.
  - A client may have more than one company code
    - United States
    - Germany
    - United Kingdom
    - Australia
    - …



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FI Organizational Structure

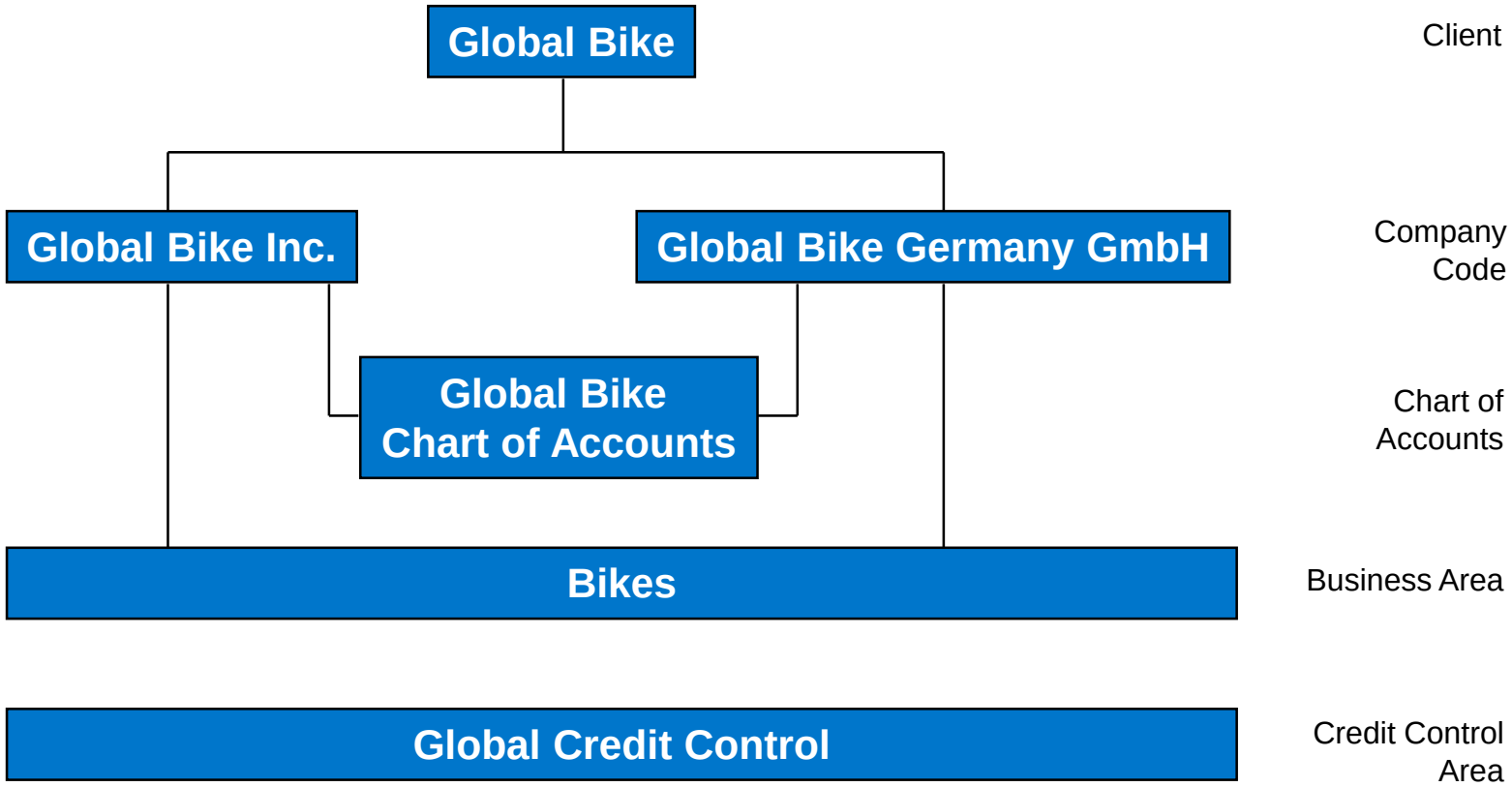
- Chart of Accounts
  - A classification scheme consisting of a group of general ledger (G/L) accounts
  - Provides a framework for the recording of values to ensure an orderly rendering of accounting data
  - The G/L accounts it contains are used by one or more company codes.

- Credit Control Area
  - An organizational entity which grants and monitors a credit limit for customers.
  - It can include one or more company codes

- Business Area
  - An organizational unit that represents a separate area of operations or responsibilities within an organization and to which value changes recorded in Financial Accounting can be allocated
  - Financial statements can be created for business areas, and these statements can be used for various internal reporting purposes.

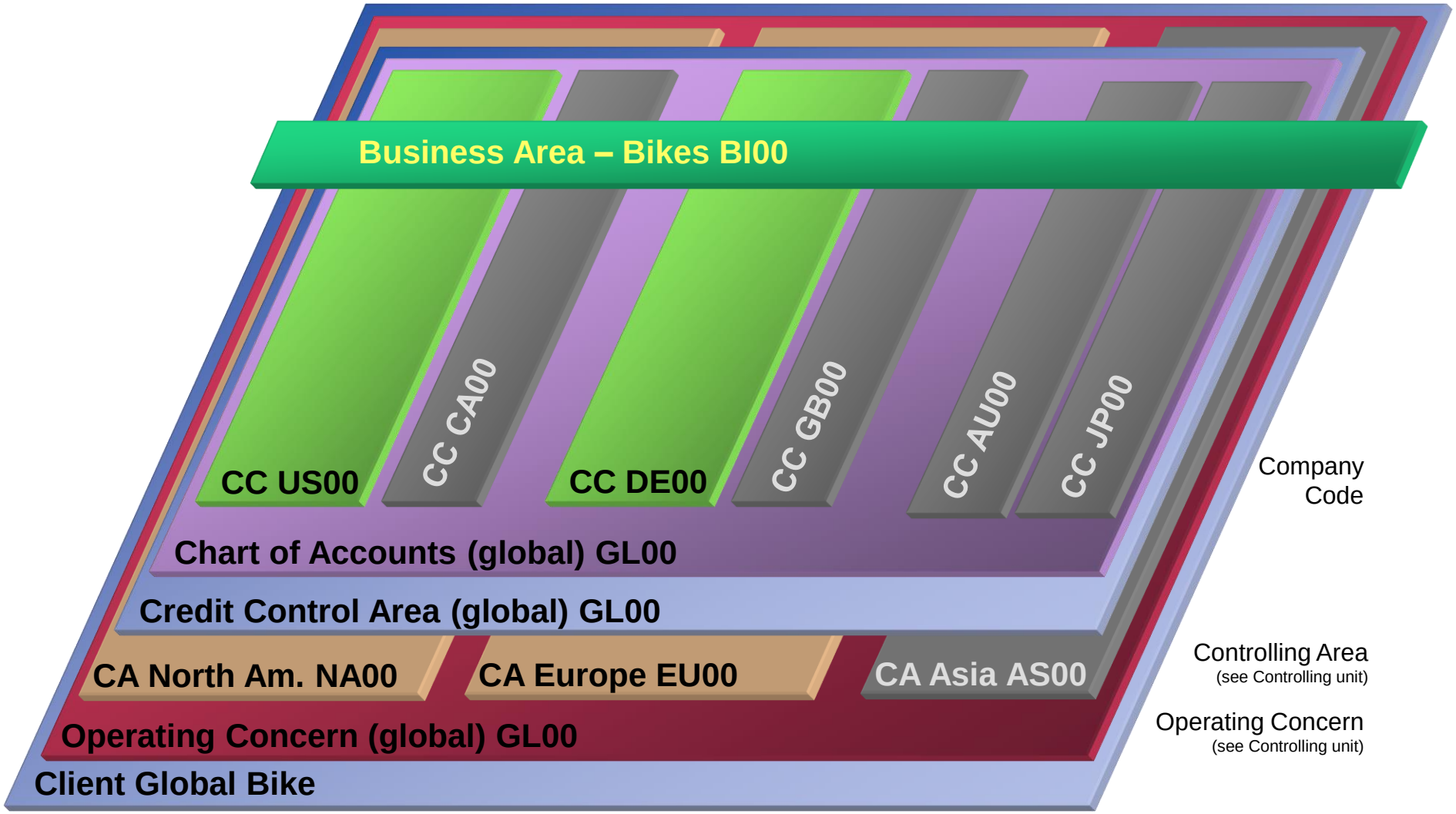
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Global Bike Structure for Financial Accounting



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Global Bike Enterprise Structure in SAP ERP (Accounting)



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FI Master Data

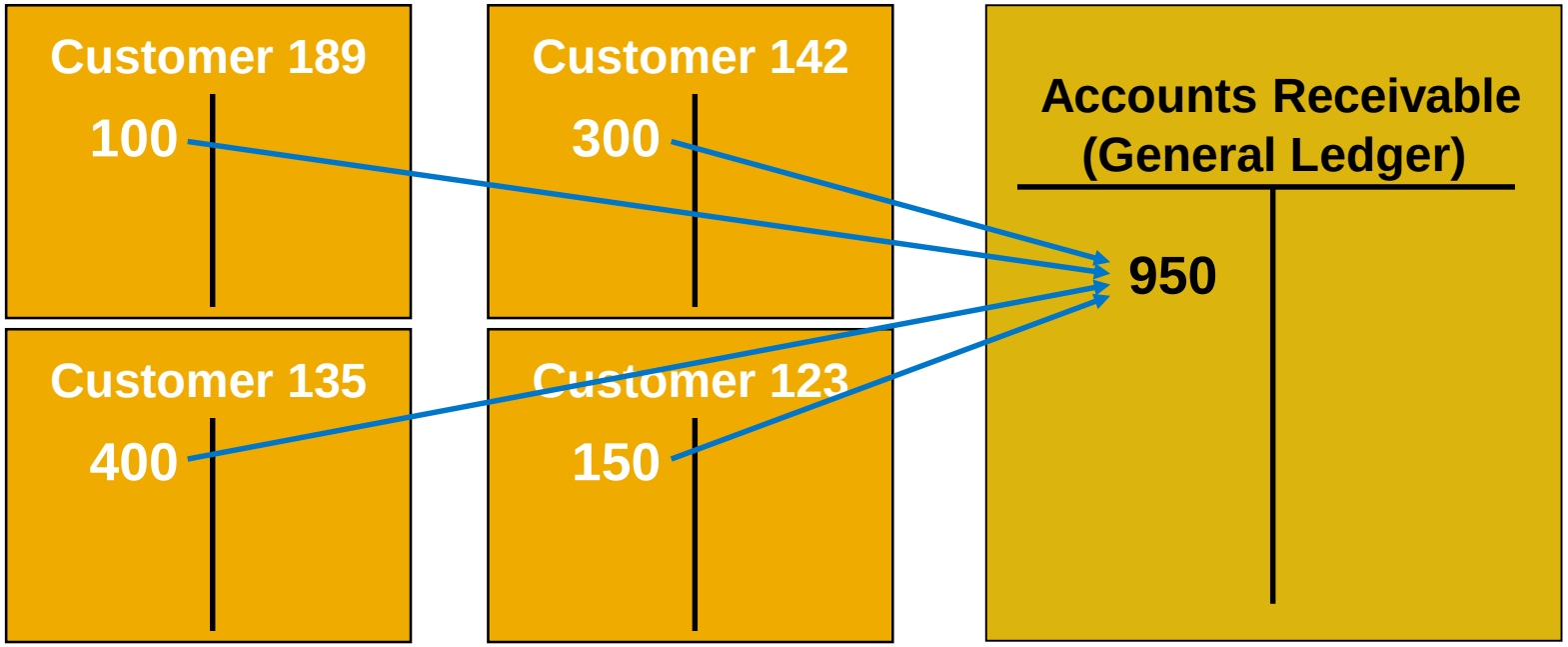
- General Ledger (G/L) Accounts
  - The unique combination of Company Code and Chart of Account creates a data storage area called a General Ledger.
  - The General Ledger contains a listing of the transactions effecting each account in the Chart of Accounts and the respective account balance.
  - It is utilized in the preparation of financial accounting statements.

- Customer and Vendor Master Data
  - Customer and vendor account balances are maintained in FI through fully integrated accounts receivable and accounts payable sub-ledgers.
  - Financial postings for customers and vendors are made directly to their respective individual accounts and accompanied by a concurrent automatic posting to the General Ledger.

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Customer Accounts

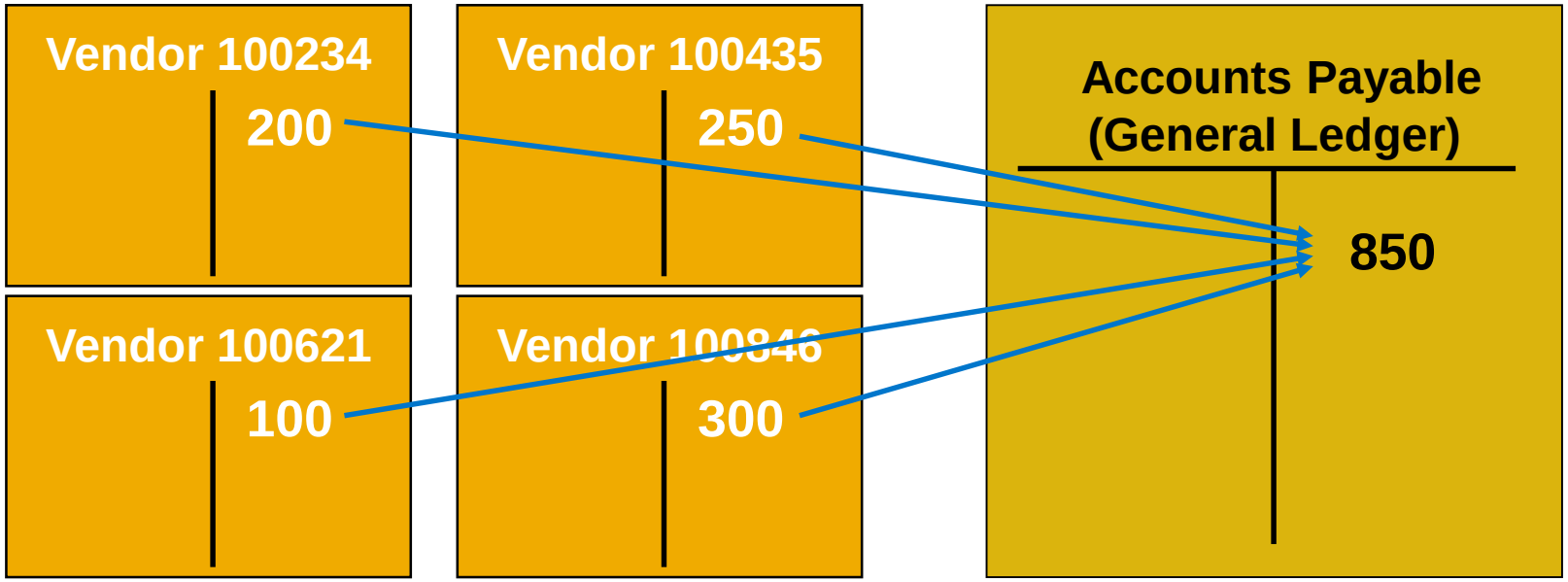
- Accounts Receivable Sub-Ledger (FI-AR)
  - Information with respect to customers who purchase the enterprise’s goods and services such as sales and payments made
  - Substantive and important integration between Sales and Distribution (SD) and Financial Accounting (FI)
  - Billings in SD generate FI journal entries for sales activity



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Vendor Accounts

- Accounts Payable Subledger (FI-AP)
  - Information with respect to Vendors from whom the enterprise purchases goods and services such as purchases and payments made
  - Substantive and important integration between Materials Management (MM) and Financial Accounting (FI)
  - Purchase and goods receipt activities in MM generate FI journal entries



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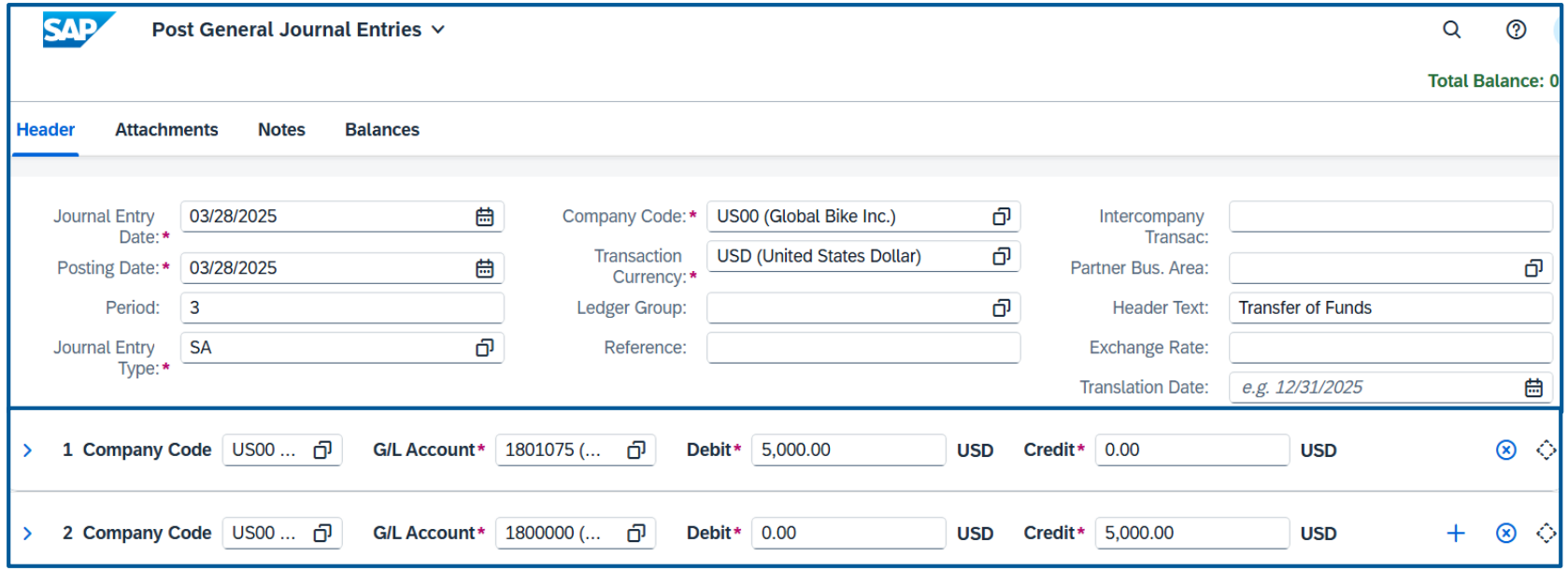
Agenda

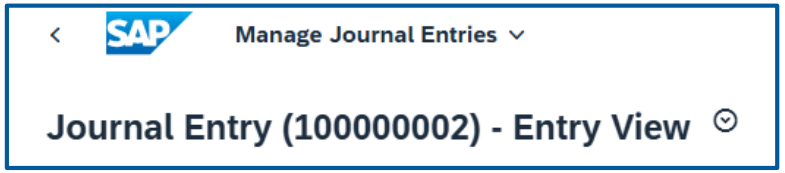
- FI Organizational Structure
- FI Master Data
- FI Processes
- FI Reporting

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FI Processes

- Posting a G/L Entry





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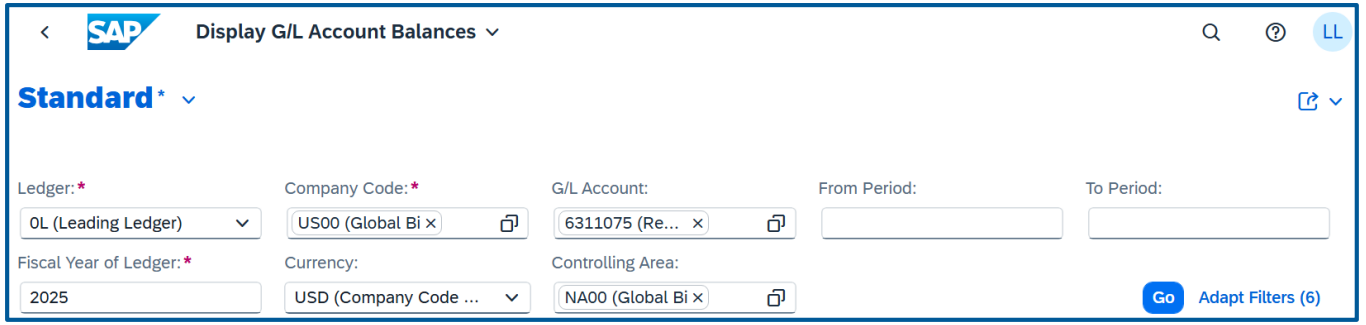
Agenda

- FI Organizational Structure
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FI Reporting

- G/L Account Summary



Period	Debit Amount in Compa...	Credit Amount in Company C...	Balance Amount in Company C...	Ending Balance Amount in Company Cod...
Opening Balance				0.00
001/2025				0.00
002/2025				0.00
003/2025	1,500.00	0.00	1,500.00	1,500.00
004/2025				1,500.00
005/2025				1,500.00
006/2025				1,500.00
007/2025				1,500.00
008/2025				1,500.00
009/2025				1,500.00
010/2025				1,500.00
011/2025				1,500.00
012/2025				1,500.00
013/2025				1,500.00
Totals	**1,500.00**	**0.00**	**1,500.00**	**1,500.00**

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FI Reporting

- Balance Sheet
  - Presentation of an organization’s Assets, Liabilities, and Equity at a point in time
  - Assets: What the company owns
  - Liabilities: What the company owes
  - Equity: The difference between Assets and Liabilities
  - Assets = Liabilities + Equity

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FI Reporting

- Balance Sheet Example

Assets	
Cash	1,000
Accounts Receivable	3,000
Equipment	500
Total Assets	4,500

Liabilities	
Accounts Payable	1750
Taxes Payable	500
Total Liabilities	2,250
Equity	
Common Stock	2,000
Retained Earnings	250
Total Equity	2,250
Total Liabilities and Equity	4,500

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FI Reporting

- Income Statement
  - Presentation of an organization’s revenues and expenses for a given period of time (e.g. monthly, quarterly, or yearly)
  - Revenues, in a simple sense, are inflows of cash as a result of selling activities or the disposal of company assets.
  - Expenses, in a simple sense, are outflows of cash or the creation of liabilities to support company operations.
  - Revenues - Expenses = Net Income

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FI Reporting

- Income Statement Example

Revenue	
Sales	11,000
Deductions	750
Total Revenue	10,250
Operating Expenses	
Cost of Goods Sold	4,500
Operating Expenses	3,750
Total Expenses	8,250
Net Income Before Taxes	2,000
Taxes	750
Net Income	1,250

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FI Reporting

- Statement of Cash Flows
  - Considers the associated changes, both inflows and outflows, that have occurred in cash – arguably the most important of all assets – over a given period of time (e.g. monthly, quarterly, or annually)



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Accountants and Audit Trails

- Audit trails allow an auditor to begin with an account balance on a financial statement and trace through the accounting records to the transactions that support the account balance.
- Audit trails enable an auditor to trace individual transactions to the effected account balance(s) on a financial statement.

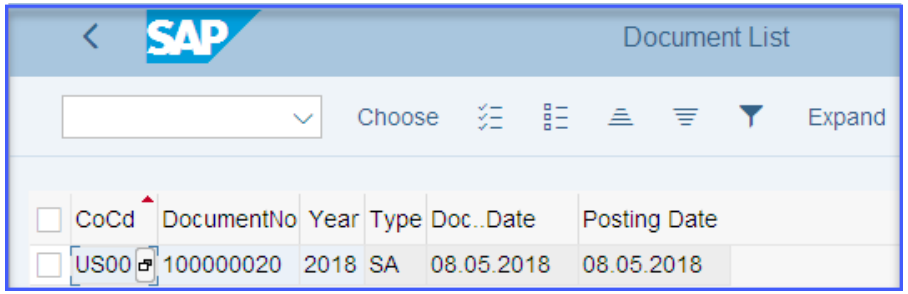
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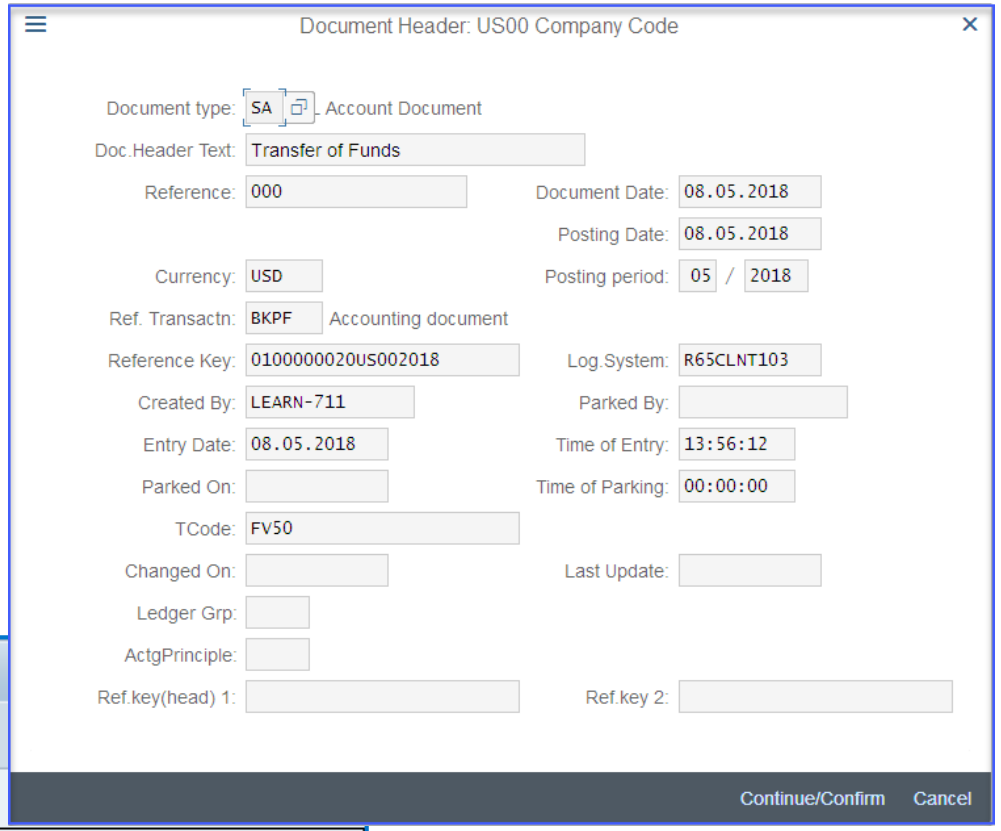
SAP Document Principle

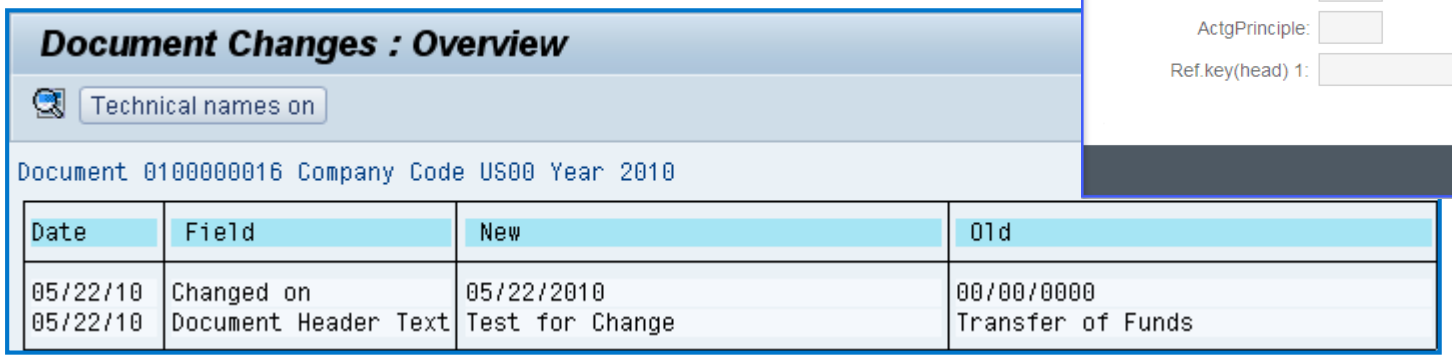
- Each business transaction impacting FI writes data to the SAP database creating a uniquely numbered electronic document.
- The document number can be used to recall the transaction at a later date.
- It contains, for example, such critical and necessary information as:
  - Responsible person
  - Date and time of the transaction
  - Commercial content
- Once written to the SAP database, a financial document (one impacting the financial position of the company) can not be deleted from the database.
- It can be changed to some degree.
- The SAP document principle provides a solid and important framework for a strong internal control system – a requirement of law for companies that operate in most countries in the world.

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SAP Document Principle







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SAP FI Module

- Fully integrated with other SAP modules including, but not limited to:
  - Sales and Distribution (SD)
  - Materials Management (MM)
  - Production Planning and Execution (PP)
  - Managerial Accounting (CO)

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